SMID BREAKOUT SCANNER

MARKET CLOSE

October 22, 2026 | 03:26 PM ET

11 setups identified | 0 A-Grade | 3 B-Grade | 8 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (3)	C - Watch List (8)
	KSS	CATY
	DGICB	BHVN
	BMI	POOL
		BBT
		WDFC
		SLG
		UPWK
		WOOF

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	KSS	Kohl's Corporati	Consumer Staples	$25.00	+12.8%	$2.8B	112M	+32.7	99%	RS line breaking to ne
B	DGICB	Donegal Group, I	Insider-Driven In	$22.52	+6.4%	$0.8B	17M	+1.7	75%	Massive insider cluste
B	BMI	Badger Meter, In	Smart Infrastruct	$147.04	+11.5%	$4.3B	29M	+11.8	76%	Earnings reported toda
C	CATY	Cathay General B	Regional Bank Rec	$64.25	+6.0%	$4.3B	63M	-0.1	98%	Breakout to within 1.5
C	BHVN	Biohaven Ltd.	Biotech Binary Ev	$14.81	+26.0%	$2.2B	117M	-1.4	80%	
C	POOL	Pool Corporation	Cyclical Recovery	$192.49	+11.6%	$7.0B	35M	+1.5	63%	
C	BBT	Beacon Financial	Regional Bank	$29.67	+6.0%	$2.5B	77M	-2.3	90%	
C	WDFC	WD-40 Company	Consumer Staples	$207.53	+7.8%	$2.8B	13M	-14.1	69%	
C	SLG	SL Green Realty	Office REIT	$49.34	+5.7%	$3.8B	67M	-10.6	82%	
C	UPWK	Upwork Inc.	Gig Economy	$9.41	+7.6%	$1.2B	111M	-1.7	41%	
C	WOOF	Petco Health and	Pet Retail	$2.50	+8.2%	$0.7B	92M	-11.5	65%	

Not financial advice. For informational purposes only. Do your own due diligence.

KSS

Kohl's Corporation

$25.00

+12.82%

RS vs SPY: +32.7%

B STRONG SETUP

$2.8B Cap | 112M Float

Department Stores | Theme: Consumer Staples Revival | 52W Hi: 99% | Base Tight: 4.48 | Vol: 1.73x | RS/SPY: +32.7% | Above 20MA: YES | EARNINGS IN 33D

SETUP METRICS

Price	**$25.00**
Day Change	**+12.82%**
Mkt Cap	**$2.83B**
Float	**112M sh**
RS vs SPY	**+32.7%**
52W Hi Prox	**99%**
Base Tight	**4.48**
Vol vs Avg	**1.73x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

RS line breaking to new 52-week high as consumer staples sector leads market (+10.4% vs SPY this week), signaling institutional rotation into defensive retail. Forward catalyst: November 24 earnings print (33 days out) will test whether the turnaround thesis (store closures, private label expansion) is translating to margin improvement.

BUSINESS & POSITION

Kohl's operates ~1,100 department stores focused on apparel, footwear, and home goods, targeting middle-income consumers. The company is executing a multi-year transformation: closing underperforming stores, expanding private-label penetration, and rightsizing inventory to improve margins in a structurally challenged department-store category.

FACTOR & THEME

Pure play on defensive consumer rotation as market regime shifts mixed/transitional. Consumer Staples leading (+10.4% vs SPY) provides sector tailwind. However, department stores remain structurally challenged by e-commerce and off-price competition; this is a cyclical bounce in a secularly declining category, not a secular growth story.

BREAKOUT SIGNAL

Close above $25.00 on vol 1.73x 20d avg, RS line new 52W high

INSTITUTIONAL

Volume 1.73x average-elevated but not institutional-surge territory. No insider buying in last 60 days. Float of 111.6M allows for institutional accumulation without creating squeeze dynamics. The RS line new high is the key signal: institutions are rotating INTO this name as a defensive hedge, not chasing momentum. Likely benefiting from sector ETF flows as Consumer Staples outperforms.

EARNINGS

EARNINGS IN 33D

EARNINGS CONTEXT

Next earnings November 24. Management has beaten margin expectations in recent quarters by aggressively cutting costs, but top-line remains under pressure. The market will focus on holiday season guidance and whether comp-store sales stabilize. History: serial margin beater but revenue misser-valuation re-rating depends on proving the top-line can stabilize.

KEY RISK

Thesis invalid on a close back below $23.50 (prior resistance/pivot), or if November 24 earnings show accelerating same-store sales decline despite cost cuts-would confirm the turnaround is financial engineering, not operational improvement.

ANALYSIS

RS line new high + sector leadership (Consumer Staples +10.4%) + proximity to 52W high (99.1%) are strong technical signals. However: volume only 1.73x (below 2x threshold for A-grade institutional confirmation), base_tight 4.48 is wide (not VCP-quality), RS +32.7% is impressive but driven by sector rotation not company-specific strength, and department stores are structurally declining. The strongest disconfirming evidence: this is a defensive sector rotation trade in a mixed regime, not a growth breakout-if regime turns risk-on, defensive rotation reverses. Conviction: Medium.

Signal: Close above $25.00 on vol 1.73x 20d avg, RS line new 52

Vol vs Avg: 1.73x

KSS - Technical Chart



DGICB

Donegal Group, Inc.

$22.52

+6.38%

RS vs SPY: +1.7%

B STRONG SETUP

$0.8B Cap | 17M Float

Insurance - Property & Casualty | Theme: Insider-Driven Insurance | 52W Hi: 75% | Base Tight: 8.19 | Vol: 2.48x | RS/SPY: +1.7% | Above 20MA: YES | EARNINGS IN 7D

SETUP METRICS

Price	**$22.52**
Day Change	**+6.38%**
Mkt Cap	**$0.84B**
Float	**17M sh**
RS vs SPY	**+1.7%**
52W Hi Prox	**75%**
Base Tight	**8.19**
Vol vs Avg	**2.48x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Massive insider cluster: 17 open-market buys totaling $3.7M in last 60 days-this is textbook insider conviction signaling material undervaluation or upcoming positive developments. Forward catalyst: October 29 earnings (7 days out) is the immediate test; insiders are positioning ahead of the print, suggesting confidence in results or guidance.

BUSINESS & POSITION

Donegal Group is a regional property & casualty insurer operating primarily in the Mid-Atlantic and Southern U.S., writing personal and commercial lines. The company competes on local market knowledge and underwriting discipline in a sector benefiting from firming pricing power post-hurricane losses and elevated reinsurance costs.

FACTOR & THEME

Insurance sector is benefiting from hard-market pricing cycle (premiums rising faster than claims inflation) and investment income tailwinds from higher rates. However, the sector is NOT among current market leaders-this is a stock-specific story driven by insider conviction, not thematic momentum.

BREAKOUT SIGNAL

Close above $22.52 on vol 2.48x 20d avg, insider cluster (17 buys, $3.7M)

INSTITUTIONAL

17 insider buys totaling $3.7M in 60 days is an extraordinarily strong signal-among the top conviction indicators in this entire dataset. Insiders rarely buy in clusters unless they see material upside the market is missing. Volume 2.48x is solid but not explosive. Small float (17.4M) means the insider purchases represent meaningful percentage of recent turnover. Per grading rules: insider_cluster=7 upgrades this from C to B. No senior officer buys noted, so upgrade to A not triggered, but the cluster size alone is institutional-grade alpha.

EARNINGS

EARNINGS IN 7D

EARNINGS CONTEXT

Next earnings October 29 (7 days). No consensus data provided, but the insider buying pattern suggests confidence in the upcoming print or FY guidance. P&C insurers have been beating on combined-ratio improvement (underwriting discipline + rate increases). Watch for reserve releases or commentary on pricing sustainability.

KEY RISK

Thesis invalid if October 29 earnings disappoint despite insider buying (would suggest insiders mistimed or have incomplete information), or on a close back below $21.00 (invalidates the current leg higher). Small-cap insurance stocks are illiquid; a single large seller can reverse the move.

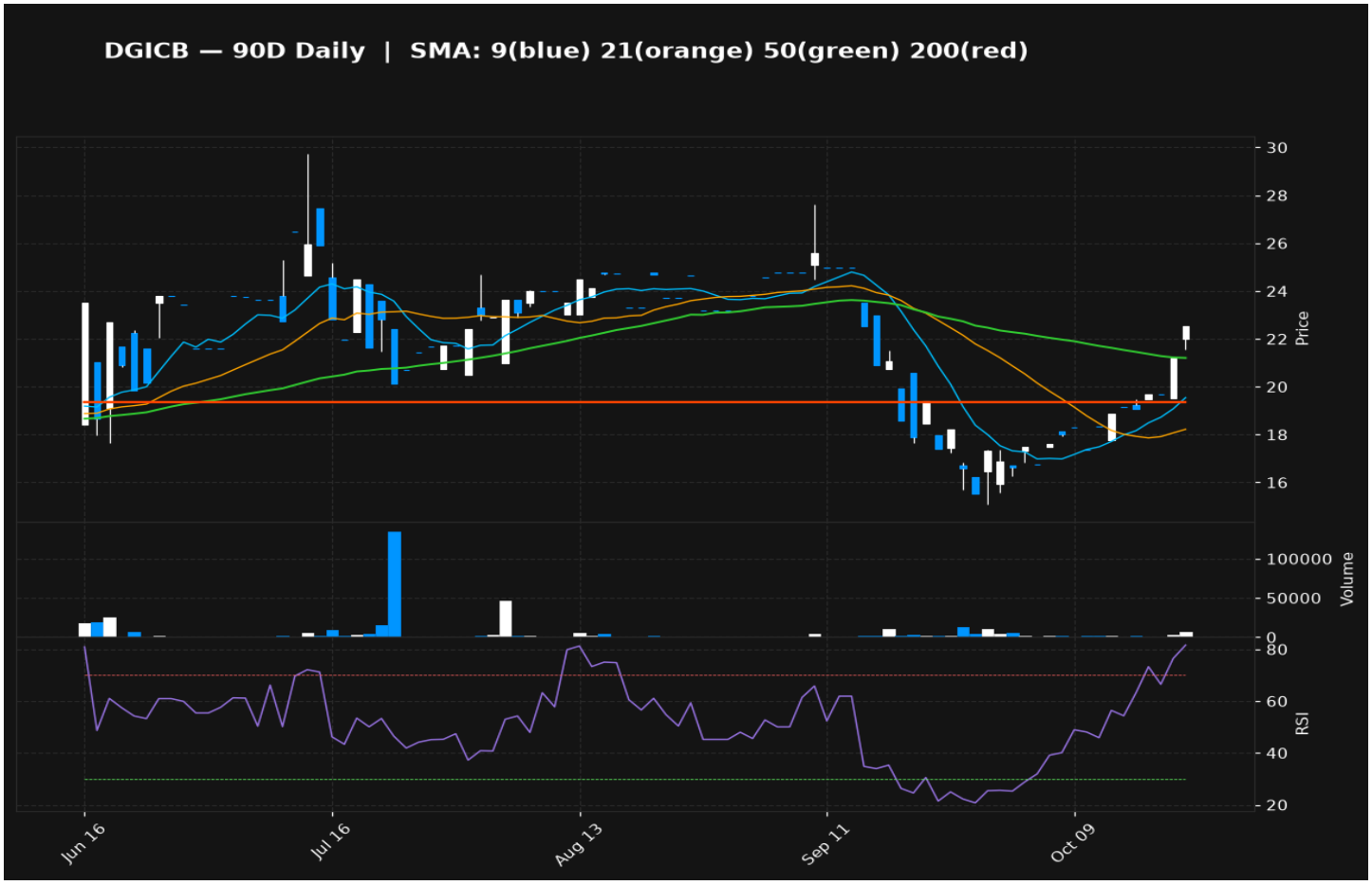
ANALYSIS

Upgraded from C to B due to massive insider cluster (17 buys, $3.7M)-the single strongest conviction signal in this dataset. However, technical setup is weak: prox_52w only 75.1%, base_tight 8.19 is very wide (no VCP coil), RS +1.7% is barely positive, RS line NOT at new high. The play here is pure insider-signal arbitrage with a 7-day catalyst (earnings Oct 29), not a momentum breakout. Strongest disconfirming evidence: technicals are mediocre and the sector is not leading-if insiders are wrong or early, there's no thematic tailwind to cushion the downside. Conviction: Medium (high on insider signal, low on technical quality).

Signal: Close above $22.52 on vol 2.48x 20d avg, insider cluste

Vol vs Avg: 2.48x

DGICB - Technical Chart



BMI

Badger Meter, Inc.

$147.04

+11.51%

RS vs SPY: +11.8%

B STRONG SETUP

$4.3B Cap | 29M Float

Scientific & Technical Instruments | Theme: Smart Infrastructure | 52W Hi: 76% | Base Tight: 4.27 | Vol: 2.13x | RS/SPY: +11.8% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS

Price	**$147.04**
Day Change	**+11.51%**
Mkt Cap	**$4.26B**
Float	**29M sh**
RS vs SPY	**+11.8%**
52W Hi Prox	**76%**
Base Tight	**4.27**
Vol vs Avg	**2.13x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Earnings reported today (October 22) driving +11.5% move-likely beat on revenue/EPS or raised guidance. Forward catalyst path: the market will digest today's print and any FY guidance raise over the next week; if the company guided up on water-infrastructure spending (municipal budgets, IoT meter adoption), the re-rating can extend. However, the immediate catalyst has been consumed.

BUSINESS & POSITION

Badger Meter manufactures flow measurement and control products, primarily smart water meters with IoT/cellular connectivity for utilities. The company is a category leader in the shift from mechanical to ultrasonic/smart meters, benefiting from aging U.S. water infrastructure replacement cycles and regulatory mandates for leak detection.

FACTOR & THEME

Exposure to infrastructure spending (bipartisan Infrastructure Investment and Jobs Act funding flowing to water utilities) and IoT/smart-city themes. However, the theme is mature and well-understood by the market-this is not an under-the-radar thematic. Sector (Technology / Scientific Instruments) is NOT among current leaders; this is a stock-specific fundamental story.

BREAKOUT SIGNAL

Close above $147.04 on vol 2.13x 20d avg, earnings-driven breakout

INSTITUTIONAL

Volume 2.13x is solid, RS +11.8% vs SPY over 12 weeks shows strong outperformance. No insider buying. Small float (28.8M) allows for institutional accumulation. The +11.5% move today on earnings suggests institutional buyers stepped in post-print, but we lack intraday volume detail to confirm block buying vs. retail chase. The absence of RS line new high despite strong RS suggests the stock had pulled back before today's breakout-institutions may have been accumulating the dip.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Earnings reported today. The +11.5% reaction implies a material beat and/or guidance raise. Badger has a history of steady execution in a predictable infrastructure-replacement cycle. The market will parse today's guidance for signs that municipal budgets are accelerating smart-meter deployments or that IoT attach rates are exceeding expectations.

KEY RISK

Thesis invalid if today's post-earnings gap fails to hold and the stock closes back below $140 (prior resistance), signaling the beat was priced in and incremental buyers exhausted. Also, municipal budget cycles are long and lumpy-any guidance commentary suggesting project delays would reverse the move.

ANALYSIS

Strong RS (+11.8%), solid volume (2.13x), and an earnings catalyst driving the move. However, prox_52w 76.5% means the stock is NOT near highs (still 23% below), RS line is NOT at new high (key A-grade disqualifier), and base_tight 4.27 is wider than ideal. Most critically: the catalyst (earnings) has already been consumed today-there is no clear forward catalyst over the next weeks to extend the move unless today's guidance creates a new narrative. This is a post-earnings reaction trade, not a pre-catalyst positioning opportunity. Conviction: Medium.

Signal: Close above $147.04 on vol 2.13x 20d avg, earnings-driv

Vol vs Avg: 2.13x

BMI - Technical Chart

